WHERE EVERY NUMBER COMES FROM

The financial case, line by line

1. INVESTMENT (UPFRONT) VS THE $10M BUDGET

INITIATIVE	UPFRONT	PER YEAR	OWNER
Yard zoning and block layout (MIP + CRAFT)	**$1.2M**	**$100K**	Yard Planning Manager
Dynamic slotting engine with demand forecasting	**$1.6M**	**$300K**	Yard Planning Manager
Tracking and yard database (digital twin)	**$2.2M**	**$350K**	IT and Operations Manager
Release visibility and truck pickup windows	**$1.4M**	**$250K**	Commercial Director
AI AGV pilot: 2 units in a fenced lane	**$1.6M**	**$150K**	Engineering and Maintenance Manager
Change management and paid training	**$600K**	**$150K**	HR Director with the Emplo...
Contingency (about 9%)	**$800K**	**$0**	Finance Director
Total	**$9.4M**	**$1.3M**	**$600K under budget**

2. ANNUAL SAVINGS: HOW THEY ARE ACHIEVED AND WHO OWNS THEM

Overtime -40%: $6.0M x 40% = $2.4M — owner: Operations Manager

Shorter travel (zoning), fewer rehandles (slotting), fewer re-plans (one database), smoother truck peaks (pickup windows)

Penalties -50%: $8.0M x 50% = $4.0M — owner: Commercial Director

Reliable release status, containers staged before pickup, faster truck service; the other half is assumed to come from customs holds PortFlow cannot override

Not counted (upside): AGV labour savings (pilot only; no layoffs); Storage revenue; Avoided spend on the 15-acre parcel.

3. THE CASE FORMULA, STEP BY STEP

FORMULA	Investment + 5 x (added annual costs - annual savings)
INVESTMENT	$9.4M
ADDED ANNUAL COSTS	$1.3M
ANNUAL SAVINGS	$2.4M + $4.0M = $6.4M
NET PER YEAR	$1.3M - $6.4M = -$5.1M
FIVE YEARS	5 x -$5.1M = -$25.5M
ADD INVESTMENT	$9.4M + -$25.5M

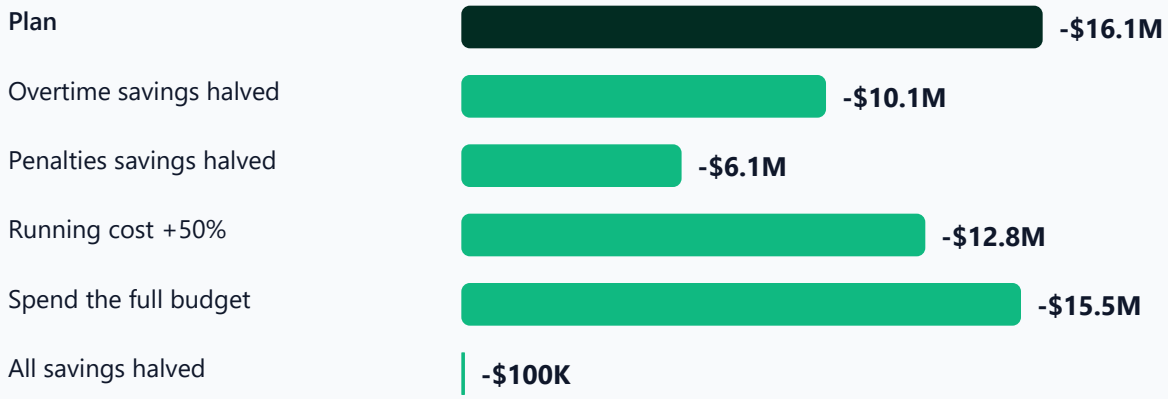
= -$16.1M (net savings)

Rules from the brief: five full operating years, constant annual costs and savings, no taxes, inflation, discounting or residual value. A negative result means net savings.

HOW ROBUST IS IT?

Stress test, uncertainty and what to say

SENSITIVITY: SAME FORMULA, ONE ASSUMPTION CHANGED AT A TIME



Break-even: the plan pays for itself if savings reach $3.2M a year, 50% of the $6.4M planned. Payback on the case basis: about 22 months of operation.

ALTERNATIVES ON THE SAME FORMULA (BRIEF COMPARISON)

Option A: Static re-zoning only: one-off MIP and CRAFT layout	**-$7.4M**
Option B: Dynamic yard: demand zoning, MIP/CRAFT slotting, tracking data	**-$16.1M**
Option C: Yard expansion on the 15-acre parcel with two added RTGs	**$13.5M (over budget)**

THE ONE FINANCIAL UNCERTAINTY TO NAME

How much of the $8M penalty bill comes from customs or documentation holds that PortFlow cannot override. If only a quarter of penalties disappear instead of half, savings drop to $4.4M a year. Even then the five-year impact is -$6.1M, still a net saving.

WHAT TO SAY (ABOUT 75 SECONDS)

1. Start with the budget: $9.4M of the $10M, with $0.6M left unspent and $0.8M contingency inside.
2. Each year the package costs $1.3M to run and saves $6.4M: $2.4M of overtime and $4.0M of penalties, each with a named owner.
3. Plug it into the case formula: $9.4M plus 5 times ($1.3M minus $6.4M) gives minus $16.1M, a net saving.
4. Even if savings were cut in half, the plan still breaks even; it needs only $3.2M a year.